

Human capital



Capital is made up of goods such as machines and factories, investment in which allows future output of products and services. Economics has extended this idea from physical capital to human beings. Human capital is the productive capacity of people – the skills and aptitudes that allow them to drive tractors, design skyscrapers and draw up balance sheets.

Just as a firm builds up its physical capital by installing new machines, people invest in their human capital by undertaking education and training. A firm buys a new machine if it will earn a return in the future, and similarly, workers invest in education if it is rewarded with a higher wage. Workers get paid a wage equal to the extra amount of production they create. Hence, because more human capital makes them more productive, employers will be willing to pay them more. The gap in wages between skilled and unskilled workers is known as the skill

premium. Human capital is needed for economic growth, and a lack of it can seriously hamper economic development.